

Understanding volatility helps to decide on strategy and timing:

- **Actual fluctuations in the past (usually 20/30 days). This is a 'real' fluctuation.**
- **The volatility that the market is 'predicting' for the future. Draw from the options price.**
- **Options đang đắt → Bán premium (short options strategy).**
- **Options đang rẻ → Mua options (long options strategy).**

Important indicators to check before entering a trade:

- **Avoid short-term option trades when earnings within 2-3 weeks.**
- **After earnings, IV usually drops by 30-60% → long options lose even when in the right direction.**
- **See how much the stock usually moves $\pm\%$ after earnings (Market Chameleon).**